



CONVEX RESEARCH GROUP

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Morning Note
Monday, June 8, 2026
Published: 7:00 AM ET
Tone: Mixed

OVERNIGHT MACRO

- Asia: Mixed session overnight with no fresh catalysts. Markets are still working through Friday's U.S. selloff after the May jobs report came in well above expectations. Nikkei and Hang Seng both relatively contained.
- Europe: FTSE, DAX, and CAC are trading modestly higher, following the lead of U.S. futures. No independent European drivers this morning.
- FX: The dollar index is essentially flat at 100.01, which is worth noting. A blowout jobs print like Friday's would normally push the dollar higher on rate hike expectations, so the muted DXY reaction is something to keep an eye on.
- Commodities: WTI crude is up 3.81% to \$93.99 with Brent at \$96.33, a significant overnight move. Gold is off 0.87% to \$4,327, which is interesting because you would normally expect gold to catch a bid in an uncertain macro environment. The divergence suggests the oil move is supply or geopolitical-driven rather than fear-driven. Copper is up 0.98%, which is a mild risk-on signal.
- U.S. Futures: S&P futures are up 0.48%, the Dow is flat, and the Nasdaq is leading the bounce. The market is attempting a partial recovery off Friday's lows, but the question is whether buyers have conviction or this is just a reflexive bounce.

KEY EVENTS & DATA TODAY

Time (ET)	Event	Prior	Estimate
	None scheduled		

Fed Speakers: None scheduled.

Earnings (BMO/AMC): Nothing of note on either side of the session today.

Key Takeaway: There is nothing on the calendar today. No data, no Fed speakers, no major earnings. That actually makes today an important session because price action will be entirely sentiment-driven. If the market can hold a bounce without any help from macro data, that tells you something about the underlying bid. If it fades, the sellers are still in control.

RATES & CREDIT SNAPSHOT

Instrument	Level	Note
2Y Treasury	4.05%	+0bps (as of Jun 4)
10Y Treasury	4.558%	+1.7bps
30Y Treasury	5.02%	+2.1bps
2s10s Spread	~51bps	Steepening sharply (+15%)
IG Spread (OAS)	72bps	Near multi-year lows
HY Spread (OAS)	274bps	Near low end of recent range

The rates picture is the most interesting part of this morning. The 30-year Treasury crossed 5.00% overnight, which is a psychological level that tends to get attention. The curve is steepening meaningfully, with the 2s10s spread widening around 15% to approximately 51 basis points. The front end is relatively anchored while the long end is selling off, which is consistent with markets pricing in higher-for-longer rates after Friday's jobs beat.

The credit spread picture is notable on the other side. IG spreads are sitting near multi-year lows at 72 basis points and HY is at 274 basis points, also near the low end of the recent range. Credit markets are not pricing in any stress at the moment.

despite the equity volatility. That divergence between tight credit spreads and elevated equity uncertainty is worth tracking. If rate hike fears persist and start to weigh on corporate borrowing costs, credit spreads will be the first place it shows up.

EQUITY SETUP

SPX: 7,383.74 prior close, futures up 0.48%. The 7,400 level is near-term resistance to watch. A clean reclaim would suggest Friday was an overreaction. Failure to hold would suggest sellers remain in control.

NDX: 25,709.43 prior close, down 4.18% on Friday. The Nasdaq took the most damage and is leading the bounce this morning. Tech and semis are the key tell for the day.

RTY: Small cap futures relatively flat. Worth watching for divergence from large cap as the session develops.

VIX: 19.47, down 9.74% overnight. The fear gauge is fading despite Friday's move, which is a mild positive signal. Below 20 suggests the market is not in panic mode.

Key Level: SPX 7,400 on the upside. A sustained move above that level suggests buyers are stepping in with conviction. On the downside, Friday's close at 7,383 is the first line of support.

ONE THEME TO WATCH

The core idea to work with: Friday's selloff was driven by a good economic print being bad for stocks because it raises the probability of a Fed rate hike. The May jobs report came in at 172,000, more than double the 80,000 consensus estimate. Markets are now pricing roughly 70% odds of a December rate hike. The question today is whether the selloff was a one-day shakeout or the start of a broader valuation reset in the AI and tech complex. Nvidia, AMD, and the semis led the decline Friday and will tell you a lot about direction today. No data or Fed speakers means the tape is trading on pure sentiment.

PORTFOLIO WATCH

Catalysts Today: No major catalysts for existing positions today. Monitor overall tape action, particularly in tech and AI-exposed names given Friday's sector rotation. Energy names worth watching on the back of the WTI move overnight.